

SECURITIES AND EXCHANGE BOARD OF INDIA
DEPARTMENT OF DEBT AND HYBRID SECURITIES, MUMBAI
SEBI/HO/DDHS/DDHS-PoD-1/P/CIR/2024/123
September 04, 2024
Master Circular for ESG Rating Providers (ERPs)

1. **Mandatory Registration:** No person or entity shall act as an ESG Rating Provider (ERP) without obtaining a certificate of registration from SEBI under the SEBI (Credit Rating Agencies) Regulations, 1999. ERPs are classified into Category I and Category II. Category I ERPs must maintain a minimum net worth of rupees ten crore (INR 10,00,000,000), while Category II ERPs must maintain a minimum net worth of rupees five crore.
2. **Core ESG Ratings:** Every ERP shall offer 'Core ESG Ratings' based strictly on verified parameters under the Business Responsibility and Sustainability Reporting (BRSR) Core framework. Core ESG ratings must incorporate quantifiable indicators including greenhouse gas footprint, water consumption intensity, waste management ratios, and gender diversity metrics.
3. **Conflict of Interest Prohibitions:** An ERP shall not provide consulting, advisory, or sustainability audit services to any company for which it has issued or intends to issue an ESG rating. The rating committee must operate independently of business development activities.

4. Disclosure of Methodologies and Scoring Models: ERPs must publish their ESG rating methodologies, sectoral weighting schemes and transition scoring models prominently on their websites. Any material modification in rating methodology must be disclosed to stock exchanges within three working days.
5. Rating Review and Retention: ESG ratings must be reviewed at least once every 12 months. All underlying analysis, data sheets and rating committee minutes must be preserved for a minimum period of five years following the withdrawal or expiry of the rating.
6. Rating Scale Standardization: ERPs shall adopt standardized nomenclature for ESG rating symbols to ensure comparability across

7. Environmental Pillar Parameters: The environmental evaluation under BRSR Core must assign weight to energy intensity per unit of turnover, percentage of energy consumed from renewable sources, absolute Scope 1 and Scope 2 emissions, and total water consumption.
8. Social Pillar Parameters: Under the social pillar, ERPs must evaluate employee median wage ratios, workforce health and safety incidents, percentage of female employees in senior management, and corporate social responsibility (CSR) project completion rates.
9. Governance Pillar Parameters: Governance assessments must examine board independence, presence of independent women on the board, executive compensation link to sustainability targets, and audit committee compliance history.

10. Subscriber-Pays vs Issuer-Pays Models: ERPs may operate under either subscriber-pays or issuer-pays business models. In the subscriber-pays model, rating reports are distributed only to accredited investors, but the summary rating score must be made public.
11. Rating Appeals: An issuer dissatisfied with an ESG rating must be given an opportunity to present factual clarifications to the rating committee within seven working days of rating communication.
12. Periodic Inspection by SEBI: SEBI reserves the right to conduct inspections of books of accounts, internal systems, and ratings of any registered ERP at any time without prior notice.

Yours faithfully,

(Pradeep Ramakrishnan)

General Manager